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UAE DECIDES TO LEAVE OPEC AND OPEC+

Decision reflects the nation's long-term vision and evolving energy profile

DUBAI
BY JUSTIN VARGHESE
Your Money Editor

The UAE will exit the Organisation of the Petroleum Exporting Countries (Opec) and the broader Opec+ alliance effective May 1, 2026, in a move described by state news agency WAM as aligned with its long-term economic and energy strategy.

The decision ends nearly six decades of UAE participation in coordinated oil production policy. The country joined Opec in 1967 through Abu Dhabi and remained a member after the federation was formed in 1971, contributing alongside producers such as Saudi Arabia and Kuwait to Middle East oil output, which accounts for roughly 30 per cent of global supply.

According to WAM, the move follows a review of production policy and capacity, with the UAE aiming to enhance flexibility in responding to market demand while continuing to support stability in global energy markets.

Opec and Opec+ have his-

torically coordinated supply through production quotas. The UAE's exit removes it from these agreements, allowing it to determine output independently.

The country plans to expand production capacity from about 3.4 million barrels per day to 5 million barrels per day by 2027, supported by upstream investment.

UAE Energy Minister Suhail Mohamed Al Mazrouei told Reuters the decision followed a review of national energy strategy. "This is a policy decision, it has been done after a careful look at current and future policies related to level of production," he said, adding that the UAE did not raise the issue with other countries.

'Careful, long review'

In an interview with CNBC, Al Mazrouei said the decision was taken after "a very careful and long review" of policy. "The decision to be outside any constraint is something that is important for us to ensure that we are attaining at the market condition, at the right time and at the right pace," he said.

ENDING SIX DECADES OF COORDINATED OIL PRODUCTION POLICY



1967

The year UAE joined as an Opec member through Abu Dhabi

5 million

barrels of oil per day UAE plans to produce by 2027

He said timing was chosen to minimise disruption. "We believe that the world is currently under supplied, and our exit at this time is the right time for it, because it will have a minimum impact on the price."

Speaking to CNN, he linked the timing to shipping constraints. "Timing is right because it will not significantly impact the market and the

price because the Strait of Hormuz is closed and restricted," he said, adding the move was a "sovereign national decision."

Dr Sultan Al Jaber, Minister of Industry and Advanced Technology and Adnoc CEO, said the move reflects a sovereign decision aligned with long-term strategy and market stability.

Analysts said the timing re-

1 Timing was chosen to minimise disruption: Al Mazrouei said the world is currently under supplied

2 UAE's exit linked to shipping constraints: Al Mazrouei said exit not to impact market because of Hormuz closure

3 Move reflects a sovereign decision: Al Jaber said UAE's exit aligned with long-term strategy and market stability

4 UAE's exit removes it from all agreements: Decision allows country to determine output independently

ability to manage markets if producers prioritise market share.

Fall in Opec production

Recent data shows Opec production fell 27 per cent to 20.79 million barrels per day in March after disruptions removed 7.88 million barrels per day from supply.

"In many ways, the main surprise regarding today's announcement that the UAE will quit both Opec, and Opec+, from the start of May, is in its timing, as opposed to its substance," said Michael Brown, Senior Research Strategist at Pepperstone.

"As the US-Iran conflict continues, and the Strait of Hormuz remains impassable, the most significant issue for the crude market is not production, but actually shipping product to where it is needed," Brown said. "At present, it's essentially shut, tightening supply conditions day-by-day."

The UAE said it will continue engaging with producers and consumers while operating outside Opec and Opec+.

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